

them slips of paper stamped with the exact time. They checked these slips carefully on their way back to the phone booths. This process was repeated several times.

Presently, a man in a green tie and a matching lab jacket, wearing the badge of a Fed employee, took out his own Casio pocket watch and synchronized it with the clock on the ballot box. "Three minutes, three," he yelled—causing a new flurry of envelope-stuffing—then "Two minutes, two." As he got down to 45 seconds, the stampers and stuffers raced faster back and forth from the phone booths to the ballot box, until finally the timer said: "Five, four, three, two, one, that's it." On the word *that's*, one last man lunged in with an envelope. After that the 30 or so competitors in this odd marathon put the telephones away, grabbed up their briefcases, and exited the front door as quickly as they'd come in.

The timer in the lab jacket, who would only identify himself as "Just-Don't-Call-Me-Late-for-Supper," was kind enough to explain what I'd seen. The federal government had just auctioned off \$13.6 billion in Treasury bills (half maturing in three months and half in six months). Treasury bills are short-term loans that investors make to the U.S. government.

The men with briefcases were emissaries of big investment houses—Salomon Brothers and Merrill Lynch, among others. They filled the ballot box with competitive bids as to the interest rates they'd accept on the Treasury bills. Their bids were approved over the telephone by their bosses. The box would be opened later that afternoon, when the Fed would sell the Treasury bills to the bidders who'd take the lowest interest rates.

I wondered why there'd been such a rush, and why they used the time clock. "When two bids are the same, the one with the earlier time stamp is accepted," said Just-Don't-Call-Me-Late-for-Supper. "That's why the rush. But this was nothing. If you want to see a stampede, you should be here for the Treasury bonds." Treasury bonds are long-term versions of the Treasury bills, held from two to ten years by the lenders.

Apparently the long-term bond auctions attract crowds of bidders from lesser investment houses, who get their instructions from pay phones outside the building and sprint in from the street. "There's always a lot of competition—though no single firm can